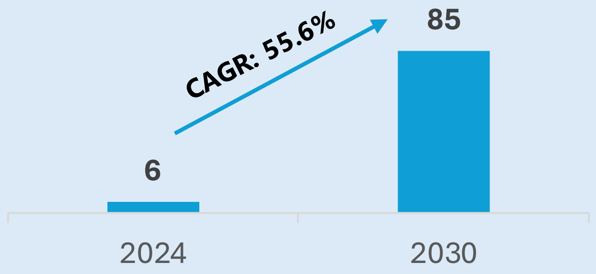
GenAI has moved from IT agenda to board mandate — Banking CIOs are now accountable for delivering ROI, not just running pilots

Spend on GenAI by Banks ($bn)[1]



- GenAI in banking market is experiencing rapid expansion, with estimates indicating a rise from $6bn in 2024, to a projected **$85.7bn** by 2030[1].
- As per McKinsey estimates[2],
  - GenAI has the potential to revolutionize banking industry for an additional value of $200bn to $340bn annually (equivalent to **9% to 15%** of operating profits)
  - The benefit is expected to be for all banking segments and functions, with the largest gains in **corporate** ($56bn) and **retail segments** ($54bn)

60% of CEOs are pushing for AI adoption faster than some might find comfortable
- IBM Study

75% ranked AI and GenAI among their top three strategic priorities for the year ahead
- BCG Report

61% report substantial impacts from deployments and 89% expect major benefits within 2 years.
- EY Parthenon'25

Top Priorities for CIOs

1. **Driving Bottom-Line ROI**: Shifting from experimentation to scaling use cases that deliver measurable profit and structural cost savings.
2. **Workforce Adaptation**: Reskilling employees and managing the cultural shift as GenAI redefines roles and daily banking operations.
3. **Data Security & Privacy**: Building secure frameworks to protect proprietary banking data and prevent leaks when using large language models.
4. **Architectural Modernization**: Updating legacy data estates and moving toward modular, AI-ready "agentic" technology architectures.
5. **Governance & Compliance**: Establishing strict oversight to manage AI bias, hallucinations, and evolving regulatory requirements.

Sources: Juniper Research[1], McKinsey[2], IBM Study, BCG-Google Report, EY-Parthenon, KPMG, Accenture Report

Competitive survival is driving urgency, but legacy infrastructure and a pilot-to-production gap are slowing the industry down

Drivers of GenAI Demand

01 **Competitive Urgency**: 71% of CEOs believe that those with the most advanced GenAI will have a significant competitive advantage.

02 **Structural Cost Reduction**: CIOs are targeting deep cost-to-serve improvements by moving beyond simple productivity to "10x" efficiency in operations.

03 **Path to Profitability**: Banks are prioritizing GenAI to move from "potential" to "profit" by identifying and scaling high-value use cases quickly.

04 **Revenue Growth through Personalization**: Demand is driven by the shift toward "Intent Engines" that create deeper, conversational customer relationships.

05 **Operational Modernization**: The need to automate complex internal processes like legacy code refactoring and risk assessment is a key driver.

Challenges Holding Back Adoption

01 **Workforce & Skill Gaps**: 46% of CEOs cite the need for new specialized skills and a lack of AI fluency as the top barrier to adoption.

02 **Data Security & Privacy Concerns**: The risk of proprietary data leakage and maintaining customer confidentiality remains a primary hurdle.

03 **Legacy Infrastructure**: Fragmented data estates and outdated monolithic technology architectures make it difficult to scale GenAI enterprise-wide.

04 **Regulatory & Ethical Risks**: Concerns regarding "hallucinations," bias, and the inability to explain AI-driven decisions to regulators slow deployment.

05 **Implementation "Pilot Trap"**: Many banks struggle to move beyond localized pilots into a governed, industrialized production environment.

Sources: IBM Study, BCG-Google Report, EY-Parthenon, KPMG, Accenture Report

Leading banks are already seeing measurable gains — faster decisions, leaner operations, and deeper client relationships

01 Morgan Stanley

Morgan Stanley: AI-Powered Knowledge Management

- Situation: Financial advisors had to manually sift through over 100,000 proprietary research reports and internal documents to answer client questions.
- Task: Create a system to help advisors instantly access and synthesize the bank’s vast intellectual capital.
- Action: Developed a custom internal assistant powered by GPT-4 that serves as a knowledge-base for the firm’s proprietary data.
- Result: Advisors can now find and summarize specific investment information in seconds, significantly increasing productivity and allowing for more high-quality client interactions.

02 CommonwealthBank

Commonwealth Bank of Australia (CBA): CommBank Copilot

- Situation: The bank needed to improve internal efficiency and employee access to information across its workforce.
- Task: Rapidly build and deploy a secure GenAI tool for employees while maintaining strict data guardrails.
- Action: Developed and launched "CommBank Copilot," an internal chatbot, in just six weeks by leveraging existing cloud infrastructure and a dedicated AI Studio.
- Result: Thousands of employees now use the tool for tasks like document summarization and content generation, proving that banking-grade AI can be deployed at high speed.

03 JPMorganChase

JPMorgan Chase: Automated Document Analysis

- Situation: The bank handles massive volumes of complex financial documents that require high-speed analysis for investment and compliance purposes.
- Task: Automate the extraction of insights from financial filings and investigate AI-driven investment selection.
- Action: Deployed Large Language Models (LLMs) for document analysis and moved toward trademarking "IndexGPT" for investment advisory services.
- Result: The bank achieved the ability to process thousands of documents in seconds, identifying market trends and extracting data significantly faster than human analysts.

Sources: Morgan Stanley Case Study, CBA Case Study, JPMorgan Case Study

Banks face a strategic choice: Hyperscalers offer speed and scale, while strategic consultants ensure compliance and controlled deployment

Hyperscalers: Provides foundation; they sell the compute power and pre-built LLMs that banks use to build their own internal tools
Strategic Consultants: Focus on implementation; integrate AI into existing core banking systems and ensure that the AI meets strict global banking regulations.

Vendor	Type	Core GenAI Solution	Key Banking Applications	Banking Use Cases
Microsoft	Hyperscalers	Azure OpenAI + Copilot for Financial Services	Integrating GenAI across the Microsoft 365 stack for frontline employee productivity and building custom LLM apps via Azure.	Enterprise copilots, code generation, document summarisation, risk analysis
IBM	Strategic Consultants	Watsonx.ai, & Granite Models	"Sovereign AI" and governance-heavy models focused on regulatory compliance, risk management, and legacy code modernization (COBOL to Java).	Compliance governance, risk monitoring, AML, agentic AI integration with Salesforce
Accenture	Strategic Consultants	AI Navigator & Managed Ops	End-to-end transformation services focusing on "Agentic AI" to automate middle-office functions like loan underwriting and SAR drafting	Implementation of hyperscaler models into bank workflows, POC-to-production acceleration
Google Cloud	Hyperscalers	Vertex AI, Dialogflow & Gemini 3	Search-and-summarization tools for high-volume document processing and hyper-personalized customer "Intent Engines."	Conversational banking, virtual assistants, fraud detection, regulatory doc processing
AWS	Hyperscalers	Amazon Bedrock, SageMaker, Titan	Scalable infrastructure providing access to multiple LLMs for fraud detection, real-time sentiment analysis, and predictive customer analytics.	Model hosting, RAG pipelines, fraud ML, document intelligence for lending

Sources: DTskill, IoTAnalytics, Desktop Research

Executive Summary

GenAI is redefining the economics of banking — Early movers are pulling ahead, and the gap is widening

$6B → $85B Bank GenAI spend | 2024-2030 55.6% CAGR	**$200B → $340B** Annual value GenAI can unlock for global banking (9–15% of profits)	**75%** of CEOs rank AI/GenAI in top 3 strategic priorities

CIO Attitudes & Priorities	GenAI has moved from IT experiment to board-level mandate — CIOs are now accountable for ROI, not just pilots 60% of banking CEOs are pushing AI adoption faster than comfortable; 75% rank it a top-3 priority; 61% already report substantial deployment impact.
Demand Drivers	Competitive survival is the primary driver — banks that lag risk structural disadvantage as peers scale 71% of CEOs believe GenAI leaders will gain a significant edge. Banks are targeting '10x' operational efficiency and AI-powered personalization as revenue levers.
Key Challenges	The path to scale is real but narrow — skill gaps, legacy infrastructure and the 'pilot trap' are the critical bottlenecks 46% of CEOs cite workforce skill gaps as the top barrier; fragmented data estates and regulatory risks slow enterprise-wide rollout beyond proof-of-concept.
Bank Use Cases	Peers are already delivering proof — Morgan Stanley, CBA and JPMorgan show that governed, production-scale GenAI is achievable Morgan Stanley synthesizes 100,000+ reports in seconds; CBA deployed a bank-wide copilot in 6 weeks; JPMorgan processes thousands of financial documents faster than any human team.
Vendor Landscape	Vendor choice is a strategic decision — hyperscalers provide speed and scale, consultants ensure compliance and controlled deployment Microsoft + Azure OpenAI dominates enterprise deployments; IBM and Accenture lead on governance-heavy, regulated AI integration and agentic AI for mid/back-office functions.